

PACKAGING MATERIALS SUPPLY AGREEMENT

between

Atlas Packaging Materials GmbH (“Supplier”)

and

Kestrel Foods plc (“Buyer”)

This Packaging Materials Supply Agreement (this “Agreement”) is entered into and effective as of January 15, 2025 (the “Effective Date”) by and between Atlas Packaging Materials GmbH, a company organized under the laws of the Federal Republic of Germany with its registered office at Industriestraße 22, 51063 Cologne, Germany (“Supplier”), and Kestrel Foods plc, a company registered in England and Wales with its registered office at 7 Orchard Court, Bristol, BS1 4ST, United Kingdom (“Buyer”), each a “Party” and together the “Parties.”

RECITALS. Supplier manufactures food-grade packaging materials, and Buyer wishes to purchase such materials for its food production lines on the terms below.

1. TERM AND RENEWAL

1.1 Initial Term. This Agreement commences on the Effective Date and continues for an initial term of three (3) years, expiring on January 14, 2028 (the “Initial Term”), unless terminated earlier under Section 9.

1.2 Automatic Renewal. Upon expiry of the Initial Term, this Agreement automatically renews for successive two (2)-year periods, unless either Party gives the other written notice of non-renewal at least sixty (60) days before the end of the then-current term.

2. MINIMUM COMMITMENT

2.1 Buyer commits to a minimum annual purchase volume of one million (1,000,000) units of packaging materials for each year of the Term. If Buyer orders fewer units in a given year, Buyer shall pay Supplier a shortfall fee equal to fifty percent (50%) of the unordered portion of the Minimum Commitment.

3. PRICING AND PAYMENT

3.1 Fees. Unit prices are fixed as set out in Schedule A. Based on the Minimum Commitment, the aggregate value of this Agreement over the three (3)-year Initial Term is estimated at five million four hundred thousand euros (€5,400,000).

3.2 Payment Terms. Buyer shall pay each undisputed invoice within sixty (60) days of the invoice date.

3.3 Pricing Model. Materials are sold at fixed unit prices per Schedule A.

3.4 Price Escalation. Unit prices are adjusted annually on each anniversary of the Effective Date in line with the Eurozone Harmonised Index of Consumer Prices (HICP), capped at five percent (5%) per year.

4. DELIVERY PERFORMANCE

4.1 Supplier shall use commercially reasonable efforts to achieve an on-time delivery rate of at least ninety-seven percent (97%), measured quarterly.

4.2 For each week a shipment is late, Buyer shall be entitled to a service credit of two percent (2%) of that shipment's value, up to a maximum of fifteen percent (15%) of the shipment's value.

5. LIMITATION OF LIABILITY

5.1 Except for liabilities arising from a Party's breach of confidentiality, IP infringement, or indemnification obligations, each Party's total aggregate liability arising out of this Agreement shall not exceed one million five hundred thousand euros (€1,500,000).

6. INDEMNIFICATION

6.1 Supplier shall defend, indemnify, and hold harmless Buyer from third-party claims arising out of (a) defective or non-conforming materials, or (b) infringement of a third party's intellectual property rights by the materials.

7. INSURANCE

7.1 Throughout the Term, Supplier shall maintain Product Liability insurance of not less than €3,000,000 per occurrence and Commercial General Liability insurance of not less than €1,000,000 per occurrence.

8. TERMINATION

8.1 Termination for Cause. Either Party may terminate this Agreement immediately upon written notice if the other Party commits a material breach and fails to cure it within thirty (30) days of notice. There is no right to terminate this Agreement for convenience prior to expiry of the then-current term.

9. CHANGE OF CONTROL; ASSIGNMENT

9.1 Neither Party may assign this Agreement without the other Party's prior written consent, except in connection with a merger, acquisition, or sale of substantially all of its assets.

10. GOVERNING LAW

10.1 This Agreement is governed by, and shall be construed in accordance with, the laws of the Federal Republic of Germany. The courts of Cologne, Germany shall have exclusive jurisdiction over any dispute arising out of this Agreement.

11. GENERAL PROVISIONS

11.1 Entire Agreement. This Agreement, together with its Schedules, constitutes the entire agreement between the Parties with respect to its subject matter.

IN WITNESS WHEREOF, the Parties have executed this Agreement as of the Effective Date.

For and on behalf of
ATLAS PACKAGING MATERIALS GMBH

Signature: _____

Name: Lena Brandt

Title: Head of Commercial

Date: January 15, 2025

For and on behalf of
KESTREL FOODS PLC

Signature: _____

Name: Ian Postlethwaite

Title: Procurement Director

Date: January 15, 2025